

However, the sentiment is positive, and investments are flowing in steadily.



Could you elaborate on the kind of 'hard work' that will be required?

We are not yet at a point where we can afford to be complacent and assume that progress will happen on its own. A lot of effort is still required. First is cost competitiveness. To compete globally, we must be cost-competitive. Key factors such as land, capital, logistics, and power costs need attention. Currently, our logistics costs are significantly higher than the global average. On the positive side, new ports and infrastructure are being developed, which should help reduce these costs over time. However, for now, logistics remains an area where we lag. Similarly, power costs are still on the higher side.

Land and labour policies require substantial reform. On the land front, progress varies from state to state. Compliance requirements have decreased compared to the past, but until we have fully digitised land records and a national land code, these issues will persist.

Labour reforms also need continued focus to ensure they meet the demands of modern manufacturing while maintaining global competitiveness.

It's not just about



being a low-cost manufacturing hub. Industries must invest significantly in R&D, innovation, and quality to position India as a leader in high-value manufacturing.

We need to move away from the perception of being a low-cost manufacturing destination and instead be recognised for excellence and innovation.



You talked about R&D and innovation. Glob-

ally, there is talk of industry 4.0. Generative Artificial Intelligence (Gen AI) is bringing in new efficiencies. There are new sectors, especially electric vehicles, that require fresh innovations. Are we doing enough in these areas?

I do see progress, especially in sectors that are knowledge-intensive and technology-driven, where we have seen a shift up the value chain.

However, the journey

is still long. We are moving in the right direction, but significant investment is required. For example, in the pharma industry, we began as large-scale generic manufacturers. Now, most companies recognise the need to focus on becoming innovators, investing heavily in R&D, and moving further up the value chain. However, this is a long journey that takes decades to achieve.

In many areas, manufacturing currently happens primarily at